

CASE ID: 200807710816

EPISODE NAME: China Pressures ExxonMobil to Halt Vietnam Offshore Gas Exploration

2008/07/20 - 2009/07/20

Sender: China (710)

Target: Vietnam (816)

Issue: Solve Territorial Dispute (5)

Final Outcome: Stalemate in Threat Stage (4)

Summary:

On 2008/07/20, China threatened to reduce business with ExxonMobil in mainland China if they pursued oil and natural gas exploration with Vietnam in the South China Sea, thereby attempting to dissuade Vietnam from this exploration. ExxonMobil is still active in the South China Sea with Vietnam, yet no sanctions were imposed by China, and ExxonMobil is still active in mainland China.

Narrative:

On 2008/07/20, China threatened to reduce business with ExxonMobil in mainland China if they pursued oil and natural gas exploration with Vietnam in the South China Sea,¹ thereby attempting to dissuade Vietnam from this exploration. Earlier in 2008, ExxonMobil and Vietnam had signed an agreement to begin oil and natural gas exploration in the Blue Whale oil field, which is within China's claims over the South China Sea.²

Media outlets first reported on 2008/07/20 Chinese diplomats in Washington, D.C. had been making "repeated verbal protests to ExxonMobil executives in recent months and warned them that its future business interests on the mainland could be at risk."³ China later confirmed that the threats were accurate.⁴

No sanctions or actions have been actively confirmed to have occurred, with ExxonMobil still active in Vietnam and China. As reported on 2021/12/07, the Blue Whale offshore gas development project was projected to earn Vietnam \$20 billion USD, and even more for Exxon

¹ "China warns Exxon over Vietnam deal-newspaper." *Reuters*, July 20th, 2008.

<https://www.reuters.com/article/business/energy/china-warns-exxon-over-vietnam-deal-newspaper-idUSPEK262694L>.

² Ibid.

³ Song, Yen Ling, Singapore. "China Warns Exxon Off Territory Disputed With Vietnam." *Energy Intelligence*, July 20th, 2008. <https://www.energyintel.com/0000017b-a7b3-de4c-a17b-e7f3f5f00001>.

⁴ "China confirms telling Exxon to end Vietnam oil deal." *Reuters*, July 22nd, 2008. www.reuters.com/article/china-vietnam/china-confirms-telling-exxon-to-end-vietnam-oil-deal-idUKPEK26391320080722.

Mobil, which owned 63.75 percent of the oil field.⁵ On 2023/10/05, it was reported that the project would not be completed until 2028.⁶

⁵ Clark, Helen. "ExxonMobil stares down China for Vietnam gas." *Asia Times*, December 7th, 2021.
<https://asiatimes.com/2021/12/exxonmobil-stares-down-china-for-vietnam-gas/#>.

⁶ Guarascio, Francesco, and Vu Khanh. "Vietnam sees no gas from Exxon, Gazprom projects for years." *Reuters*, October 5th, 2023.
<https://www.reuters.com/business/energy/vietnam-sees-no-gas-exxon-gazprom-projects-years-draft-govt-document-2023-10-05/>.